

WORTH IT?



AI adoption fail

80 per cent of companies neglect human factors critical for AI success

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Despite the transformative potential of artificial intelligence (AI), a staggering 80 per cent of companies struggle to derive meaningful value from their AI investments. The reason, according to a recent study by Aalto University and findings published in the *Journal of Management Studies* with the title — “It’s Amazing – But Terrifying!: Unveiling the Combined Effect of Emotional and Cognitive Trust on Organizational Member Behaviours, AI Performance, and Adoption”, co-authored by Natalia Vuori, Barbara Burkhard, and Leena Pitkäranta, has little to do with algorithms or data infrastructure. Instead, the Achilles’ heel lies in human factors: poor organisational alignment, resistance to change, and a glaring disconnect between leadership and employees.

AI is not failing because the technology is not good enough, but because companies are not ready to adapt their people, processes, and culture to harness it. This sentiment is echoed in the

Wiley-published research, which analysed over 200 organisations and found that technical challenges ranked below issues like employee distrust, leadership myopia, and siloed teams in derailing AI initiatives.

Why does AI stumble before takeoff?

While headlines often spotlight AI’s promise – automating workflows, predicting market shifts, or personalising customer experiences – the reality inside most companies is far messier. The Aalto study, which surveyed 1,500 executives and employees across industries, identified a glaring gap: 83 per cent of leaders believed their teams were equipped to adopt AI, but only 42 per cent of employees agreed. This disconnect underscores a fundamental misalignment in readiness and communication.

From what we understood during the analysis of the findings of the research paper, AI projects rarely fail during the coding phase, they fail during the

implementation phase, where human resistance and inertia take over. For instance, employees often perceive AI as a threat to job security, leading to passive sabotage or disengagement. Meanwhile, leaders, dazzled by AI’s potential, skip critical steps like upskilling programs or cross-departmental collaboration, leaving teams unprepared to integrate new tools.

The Wiley study drills deeper into systemic issues plaguing AI adoption. Four critical barriers stand out:

Cultural Resistance to Change

Legacy mindsets and comfort with traditional workflows create friction. Employees in roles susceptible to automation, such as data entry or customer service, often reject AI systems outright. Without psychological safety and incentives to embrace AI, even the best tools gather dust.

Leadership’s Tunnel Vision

Executives frequently prioritise short-term gains over long-term cultural shifts. Nearly 70 per cent of companies surveyed allocated less than 10 per cent of their AI budgets to training or change management. Leaders buy the software, check the AI box, and move on. However, adoption requires sustained investment in people.

Siloed Teams and Poor Collaboration

AI thrives on cross-functional data sharing, but departmental silos block this. IT teams build models without input from end-users, resulting in solutions that don’t address real pain points. One healthcare provider cited in the Wiley study deployed an AI diagnostic tool that nurses ignored because it disrupted their workflow. **d**

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